



PAPER – 1: ADVANCED ACCOUNTING

Announcements stating applicability for May 2026 Examination

I. Revised Criteria for classification of Non-company entities for applicability of Accounting Standards

The Council, at its 433rd meeting, held on August 13-15, 2024, considered the revised criteria for classification of Non-company entities for applicability of Accounting Standards issued by The Institute of Chartered Accountants of India (ICAI) to Non-company entities (Enterprises) and recommended to revise the same. The revised scheme for applicability of Accounting Standards to Non-company entities shall come into effect in respect of accounting periods commencing on or after April 1, 2024, which is as under:

1. For the purpose of applicability of Accounting Standards, Non-company entities are classified into two categories, viz., Micro, Small and Medium Sized Entities (MSMEs) and Large entities.
2. Micro, Small and Medium Sized Entity (MSME) means, a non-company entity:
 - (i) whose equity or debt securities are not listed or are not in the process of listing on any stock exchange, whether in India or outside India;
 - (ii) which is not a bank, financial institution or an insurance company;
 - (iii) whose turnover (excluding other income) does not exceed two hundred and fifty crore rupees in the immediately preceding accounting year;

- (iv) which does not have borrowings in excess of fifty crore rupees at any time during the immediately preceding accounting year; and
- (v) which is not a holding or subsidiary of an entity which is not a micro, small and medium-sized entity.

Explanation.- For the purposes of this clause, a non-company entity shall qualify as a Micro, Small and Medium Sized entity, if the conditions mentioned therein are satisfied as at the end of the relevant accounting period.

Large entity is a non-company entity that is not an MSME.

The terms 'Small and Medium Enterprise' and 'SME' used in Accounting Standards shall be read as 'Micro, Small and Medium size entity' and 'MSME', respectively. Further, the terms Level II, Level III and Level IV entities used in Accounting Standards shall be read as 'Micro, Small and Medium Sized Entity' and Level I entity shall be read as a 'Large' entity.

- 3. Large entities are required to comply in full with all the Accounting Standards.
- 4. Certain exemptions/relaxations have been provided to Micro, Small and Medium sized Entity (MSMEs). Applicability of Accounting Standards and exemptions/relaxations to such entities are given in Annexure 1.
- 5. This Announcement supersedes the earlier Announcement of the ICAI on 'Criteria for classification of Non-company entities for applicability of Accounting Standards issued in March 2021¹.

¹ The said announcement was hosted on ICAI website on March 31, 2021 and published in 'The Chartered Accountant', May 2021 and it superseded the earlier announcement of the ICAI on 'Harmonisation of various differences between the Accounting Standards issued by the ICAI and the Accounting Standards notified by the Central Government' issued in February 2008, to the extent it prescribed the criteria for classification of Non-company entities (Non-corporate entities) and applicability of Accounting Standards to non-company entities, and the Announcement 'Revision in the criteria for classifying Level II non-corporate entities' issued in January 2013.

6. This Announcement is not relevant for Non-company entities which may be required to follow Indian Accounting Standards (Ind AS) or Accounting Standards (AS) as per relevant regulatory requirements applicable to such entities.
7. The changes arising from this Announcement will be incorporated in the Accounting Standards while publishing the updated Compendium of Accounting Standards.

Additional requirements

- (1) An MSME which avails the exemptions or relaxations given to it shall disclose (by way of a note to its financial statements) the fact that it is an MSME and has complied with the Accounting Standards insofar as they are applicable to an MSME.
- (2) Where an MSME had qualified for any exemption or relaxation previously but no longer qualifies for the relevant exemption or relaxation in the current accounting period, the relevant standards or requirements become applicable from the current period and the figures for the corresponding period of the previous accounting period need not be revised merely by reason of its having ceased to be an MSME. The fact that it was an MSME in the previous period and it had availed of the exemptions or relaxations available to it shall be disclosed in the notes to the financial statements. The fact that previous period figures have not been revised shall also be disclosed in the notes to the financial statements.
- (3) An entity which was previously not an MSME and subsequently becomes an MSME, shall not be qualified for exemption/relaxation in respect of Accounting Standards available to an MSME until the entity remains an MSME for two consecutive years.
- (4) If an MSME opts not to avail of the exemptions or relaxations available to an MSME in respect of any but not all of the Accounting Standards, it shall disclose the Standard(s) in respect of which it has availed the exemption or relaxation.

- (5) If an MSME opts not to avail any one or more of the exemptions or relaxations available to it, it shall comply with the relevant requirements of the Accounting Standard.
- (6) An MSME may opt for availing certain exemptions or relaxations from compliance with the requirements prescribed in an Accounting Standard: Provided that such a partial exemption or relaxation and disclosure shall not be permitted to mislead users of financial statements.

Annexure 1

Applicability of Accounting Standards to Non-company Entities The Accounting Standards issued by the ICAI, as on April 1, 2024, and such standards as issued from time-to-time are applicable to Non-company entities subject to the relaxations and exemptions in the announcement. The Accounting Standards issued by ICAI as on April 1, 2024, are:

AS 1	Disclosure of Accounting Policies
AS 2	Valuation of Inventories
AS 3	Cash Flow Statements
AS 4	Contingencies and Events Occurring After the Balance Sheet Date
AS 5	Net Profit or Loss for the Period, Prior Period Items and Changes in Accounting Policies
AS 7	Construction Contracts
AS 9	Revenue Recognition
AS 10	Property, Plant and Equipment
AS 11	The Effects of Changes in Foreign Exchange Rates
AS 12	Accounting for Government Grants
AS 13	Accounting for Investments
AS 14	Accounting for Amalgamations
AS 15	Employee Benefits
AS 16	Borrowing Costs
AS 17	Segment Reporting

AS 18	Related Party Disclosures
AS 19	Leases
AS 20	Earnings Per Share
AS 21	Consolidated Financial Statements
AS 22	Accounting for Taxes on Income
AS 23	Accounting for Investments in Associates in Consolidated Financial Statements
AS 24	Discontinuing Operations
AS 25	Interim Financial Reporting
AS 26	Intangible Assets
AS 27	Financial Reporting of Interests in Joint Ventures
AS 28	Impairment of Assets
AS 29	Provisions, Contingent Liabilities and Contingent Assets

- (1) Applicability of the Accounting Standards to Large Non- company entities.

Large entities are required to comply in full with all the Accounting Standards.

- (2) Applicability of the Accounting Standards and exemptions/ relaxations for Micro, Small and Medium sized Non-company entities

(A) Accounting Standards not applicable to Micro, Small and Medium sized entity (MSME) in their entirety

- (i) Accounting Standards not applicable to all MSMEs in their entirety:
- AS 3, Cash Flow Statements
 - AS 17, Segment Reporting
 - AS 20, Earnings per Share
 - AS 24, Discontinuing Operations

- (ii) AS 18, Related Party Disclosures and AS 28, Impairment of Assets not applicable in their entirety to MSMEs :
 - (a) whose turnover (excluding other income) does not exceed rupees fifty crore in the immediately preceding accounting year;
 - (b) which does not have borrowings in excess of rupees ten crore at any time during the immediately preceding accounting year; and
 - (c) which is not a Holding and subsidiary of an MSME not covered above.

(B) Relaxations/exemptions from certain requirements of Accounting Standards to Micro, Small and Medium sized Entities (MSMEs)

- (i) Accounting Standard (AS) 10, Property, Plant and Equipment MSMEs may not comply with paragraph 87 relating to encouraged disclosures.
- (ii) AS 11, The Effects of Changes in Foreign Exchange Rates MSMEs may not comply with paragraph 44 relating to encouraged disclosures.
- (iii) AS 15, Employee Benefits
 - (1) MSMEs may not comply with the following paragraphs:
 - (a) paragraphs 11 to 16 of the standard to the extent they deal with recognition and measurement of short-term accumulating compensated absences which are nonvesting (i.e., short-term accumulating compensated absences in respect of which employees are not entitled to cash payment for unused entitlement on leaving);
 - (b) paragraphs 46 and 139 of the Standard which deal with discounting of amounts

that fall due more than 12 months after the balance sheet date;

- (c) recognition and measurement principles laid down in paragraphs 50 to 116 and presentation and disclosure requirements laid down in paragraphs 117 to 123 of the Standard in respect of accounting for defined benefit plans. However, such entities may calculate and account for the accrued liability under the defined benefit plans by reference to some other rational method, e.g., a method based on the assumption that such benefits are payable to all employees at the end of the accounting year; and
 - (d) recognition and measurement principles laid down in paragraphs 129 to 131 of the Standard in respect of accounting for other long-term employee benefits. Such entities may calculate and account for the accrued liability under the other long-term employee benefits by reference to some other rational method, e.g., a method based on the assumption that such benefits are payable to all employees at the end of the accounting year.
- (iv) AS 19, Leases
- MSMEs may not comply with paragraphs 22 (c),(e) and (f); 25 (a), (b) and (e); 37 (a), (f) and (g); 38; and 46 (b), (d) and (e) relating to disclosures.
- (v) AS 22, Accounting for Taxes on Income
- (a) MSMEs shall comply with the requirements of AS 22, Accounting for Taxes on Income, for Current tax defined in paragraph 4.4 of AS 22, with

recognition as per paragraph 9, measurement as per paragraph 20 of AS 22, and presentation and disclosure as per paragraphs 27-28 of AS 22.

- (b) Transitional requirements on the first occasion when an MSME avails this exemption, the accumulated deferred tax asset/liability appearing in the financial statements of immediate previous accounting period, shall be adjusted against the opening revenue reserves/owner's funds.
- (vi) AS 26, Intangible Assets MSMEs may not comply with paragraphs 90(d)(iii); 90(d)(iv) and 98 relating to disclosures.
- (vii) AS 28, Impairment of Assets (a) MSMEs that are otherwise not exempted from applying this standard [refer note 2(A)(ii)] are allowed to measure the 'value in use' on the basis of reasonable estimate thereof instead of computing the value in use by present value technique. Consequently, if such MSME chooses to measure the 'value in use' by not using the present value technique, the relevant provisions of AS 28, such as discount rate etc., would not be applicable to such an entity. Further, such an entity need not disclose the information required by paragraph 121(g) of the Standard. (b) MSMEs that are otherwise not exempted from applying this standard [refer note 2(A)(ii)] may not comply with paragraphs 121(c)(ii); 121(d)(i); 121(d)(ii) and 123 relating to disclosures.
- (viii) AS 29, Provisions, Contingent Liabilities and Contingent Assets

MSMEs may not comply with paragraphs 66 and 67 relating to disclosures.

- (C) In case of Micro, Small and Medium sized Non-company entities, generally there are no such transactions that are covered under AS 14, Accounting for Amalgamations, or

jointly controlled operations or jointly controlled assets covered under AS 27, Financial Reporting of Interests in Joint Ventures. Therefore, these standards are not applicable to Micro, Small and Medium size Non-company entities. However, if there are any such transactions, these entities shall apply the requirements of the relevant standard.

- (D) AS 21, Consolidated Financial Statements, AS 23, Accounting for Investments in Associates in Consolidated Financial Statements, AS 27, Financial Reporting of Interests in Joint Ventures (to the extent of requirements relating to Consolidated Financial Statements), and AS 25, Interim Financial Reporting, do not require a Non-company entity to present consolidated financial statements and interim financial report, respectively. Relevant AS is applicable only if a Non-company entity is required or elects to prepare and present consolidated financial statements or interim financial report.

II. Amendments to AS 22, Accounting for Taxes on Income

Paragraphs 2A, 32A–32D (including their related heading and example after paragraph 32D) and 35 are added.

Scope: 2A This Standard applies to taxes on income arising from tax law enacted or substantively enacted to implement the Pillar Two model rules published by the Organisation for Economic Cooperation and Development (OECD), including tax law that implements qualified domestic minimum top-up taxes described in those rules. Such tax law, and the taxes on income arising from it, are hereafter referred to as 'Pillar Two legislation' and 'Pillar Two income taxes'. As an exception to the requirements in this Standard, an enterprise should neither recognise nor disclose information about deferred tax assets and liabilities related to Pillar Two income taxes.

Presentation and Disclosure: International tax reform—Pillar Two model rules 32A An enterprise should disclose that it has applied the exception to recognising and disclosing information about deferred tax assets and liabilities related to Pillar Two income taxes (see paragraph 2A). 32B An enterprise should disclose separately its current tax expense

(income) related to Pillar Two income taxes. 32C In periods in which Pillar Two legislation is enacted or substantively enacted but not yet in effect, an enterprise should disclose known or reasonably estimable information that helps users of financial statements understand the enterprise's exposure to Pillar Two income taxes arising from that legislation. 32D To meet the disclosure objective in paragraph 32C, an enterprise should disclose qualitative and quantitative information about its exposure to Pillar Two income taxes at the end of the reporting period. This information does not have to reflect all the specific requirements of the Pillar Two legislation and can be provided in the form of an indicative range. To the extent information is not known or reasonably estimable, an enterprise should instead disclose a statement to that effect and disclose information about the enterprise's progress in assessing its exposure.

Examples illustrating paragraphs 32C–32D Examples of information an enterprise could disclose to meet the objective and requirements in paragraphs 32C–32D include: (a) qualitative information such as information about how an enterprise is affected by Pillar Two legislation and the main jurisdictions in which exposures to Pillar Two income taxes might exist; and (b) quantitative information such as: (i) an indication of the proportion of an enterprise's profits that might be subject to Pillar Two income taxes and the average effective tax rate applicable to those profits; or (ii) an indication of how an enterprise's average effective tax rate would have changed if Pillar Two legislation had been in effect.

Provided that a Micro, Small and Medium-sized Enterprise (Levels IV, III and II non-company entities) may not apply the disclosure requirements laid down in paragraphs 32C and 32D. ... Effective date 35 International Tax Reform—Pillar Two Model Rules, added paragraphs 2A and 32A–32D. An enterprise should: (a) apply paragraphs 2A and 32A immediately upon the issue of these amendments and retrospectively; and (b) apply paragraphs 32B–32D for annual reporting periods beginning on or after 1 April 2024. An enterprise is not required to disclose the information required by these paragraphs for any interim period ending on or before 31 March 2025.

**QUESTIONS****PART – I: Multiple Choice Questions based on Case Scenarios**

1. Year 1 - A Company purchased a land from its own funds and started construction on two towers on the land. The Company for the construction borrowed funds of ₹ 60 lakhs each for both the towers. The Company is required to pay interest of ₹ 60,000 annually for each loan. During the first year the Company allotted the vacant area for parking purposes which fetched revenue of ₹ 15,000 in year 1 only. Tower 1 got ready at the end of year 2. The Company capitalised the same and started using the same for intended purpose.
- (i) How much borrowing cost should be charged to profit and loss at the end of year 1:
- (a) ₹ 60,000
 - (b) ₹ 1,20,000
 - (c) ₹ 1,05,000
 - (d) Nil
- (ii) How much borrowing cost is eligible for capitalisation at the end of year 1:
- (a) ₹ 60,000
 - (b) ₹ 1,20,000
 - (c) ₹ 1,05,000
 - (d) Nil
- (iii) How much borrowing cost should be charged to profit and loss at the end of year 3:
- (a) ₹ 60,000
 - (b) ₹ 1,20,000
 - (c) ₹ 1,05,000

- (d) Nil
- (iv) How much borrowing cost is eligible for capitalisation at the end of year 3:
 - (a) ₹ 60,000
 - (b) ₹ 1,20,000
 - (c) ₹ 1,05,000
 - (d) Nil

General MCQs

2. Suraj Ltd. (the lessee) acquires machinery on lease from Chand Ltd. (the lessor) on April 1, 2025 for 3 years. The economic life of machinery is also 3 years. The fair value of the machinery is ₹ 2,50,000 and the guaranteed residual value is ₹ 2,000. As per the lease agreement, the lessee is required to pay ₹ 1,00,000 per year from April 1, 2025. The lessor has guaranteed a residual value of ₹ 20,000. However, lessor estimates that it would have a value of 5,000 only after 3 years. At what value the machinery would be recognised.
 - (a) ₹ 2,50,000
 - (b) ₹ 2,24,500 approx
 - (c) ₹ 2,37,400 approx
 - (d) ₹ 2,27,700 approx
3. Which of the following is not an example of cash and cash equivalent balances held by the entity that are not available for use?
 - (a) balance in unpaid dividend account;
 - (b) balance in bank account as Fixed deposits
 - (c) earmarked bank balances for specific purposes. Examples: bank account for debenture redemption, dividend payment etc.
 - (d) balance in bank account subject to legal restrictions.
4. Following is the example of research activities as per AS 26 which is recognised as expense when it is incurred:

- (a) the design, construction and testing of pre-production or pre-use prototypes and models.
- (b) the search for alternatives for materials, devices, products, processes, systems or services.
- (c) the design of tools, jigs, moulds and dies involving new technology.
- (d) the design, construction and operation of a pilot plant that is not of a scale economically feasible for commercial production.

Part II - Descriptive Questions

Introduction to Accounting Standards

5. Write a short note on International Accounting Standard Board (IASB).

Framework for Preparation & Presentation of Financial Statements

6. Giant Ltd. has entered into a binding agreement with Tiny Ltd. to buy a custom-made machine of ₹ 1,00,000 at the end of 2024-25, before delivery of the machine, Giant Ltd. had to change its method of production. The new method will not require the machine ordered and it will be scrapped after delivery. The expected scrap value is nil.

You are required to advise the accounting treatment and give necessary journal entry in the year 2024-25.

Applicability of Accounting Standards

7. Virat Traders, an unlisted partnership firm, had a turnover of ₹ 249.99 crore and borrowings of ₹ 25.01 crore during the financial year 2023-24. It is not a bank, financial institution, or insurance company, and also not a subsidiary of any other entity. The firm wishes to avail MSME exemptions for FY 2024—25. Is it eligible?

AS 3 "Cash flow statements "

8. The following are the summarised Balance Sheets of Dark Limited as at 31st March, 2025 and 31st March, 2024:

Particulars	31 st March, 2025 ₹ in Lakhs	31 st March, 2024 ₹ in Lakhs
Equity and Liabilities		
Equity Share Capital	250.00	195.00
Profit & Loss Account	15.00	10.00
8% Debentures	50.00	40.00
Trade Payables	75.00	82.00
Unpaid Interest on Debentures	2.00	---
Provision for Taxation	<u>8.00</u>	<u>5.00</u>
	400.00	332.00
Assets		
Property, Plant & Equipment	255.00	205.00
Goodwill	6.00	8.00
Inventories	28.00	42.00
Trade Receivables	52.00	50.00
Cash & Cash Equivalents	<u>59.00</u>	<u>27.00</u>
	400.00	332.00

Other Information:

Dividend paid during the year 2024-25 is ₹ 3,00,000,

- Depreciation charged during the year 2024-25 is ₹ 20,00,000.

Fresh debentures were issued on 1st April, 2024.

You are required to prepare the Cash Flow Statement for the year ended 31st March, 2025 using Indirect Method.

AS 4 "Contingencies and Events Occurring after the Balance Sheet Date"

9. While preparing its financial statements for the year ended 31st March, 2025, B Limited has come across the following events which took place after 31st March, 2025. The financial statements of the company were approved by the Board of Directors on 30th May, 2025:

- (i) B Limited started negotiations with S Limited during 2024-25 to acquire their Consumer Durables Business for ₹ 400 lakhs. The deal was finalized on 20th April, 2025 and B Limited invested ₹ 275 lakhs before 30th May, 2025.
- (ii) During the course of audit for the year ended 31st March, 2025, the auditor discovered a fraud of ₹ 1,25,000 done by the accountant of the company. The fraud was discovered on 20th April, 2025. The accountant of the company had left the job and absconded on 29th March, 2025.
- (iii) A fire engulfed the warehouse of B Limited on 13th April, 2025 and destroyed inventory worth ₹ 15 lakhs lying there.

You are required to state with reasons, whether, the aforesaid events are adjusting or non-adjusting events as per the provisions of the relevant AS.

AS 7 "Construction Contracts"

10. On 1st April, 2024, Y Limited purchased an industrial plot of land for ₹ 50,00,000 for the purpose of constructing a new factory. This cost of ₹ 50,00,000 included legal cost of ₹ 2,50,000 incurred for the purpose of acquisition of this plot. The construction of the factory commenced on 1st May, 2024. Y Limited provides you with the following details of the costs incurred in relation to the above construction:

Particulars	Amount (₹)
Preparation and levelling of the land	1,60,000
Employment costs of construction workers (per month)	58,000
Purchase of Raw materials for the construction	42,48,000
Cost of relocating the workers to new factory for work	75,000
Costs of inaugural function of the new factory on 1 st January, 2025	95,000
Overhead costs incurred directly on the construction of the factory (per month)	50,000

The construction of the factory was completed on 31st December, 2024 and production could commence on 1st February, 2025. The overall useful life of the factory building was estimated at 40 years from the date of completion. However, it was estimated that the roof would need to be replaced 20 years after the date of completion. The cost of replacing the roof at current prices would be 25% of the total cost of the building. The construction of the factory was partly financed by a loan of ₹ 56,00,000 raised from State Bank of India on 1st April, 2024 at an interest rate of 9% per annum. During the period when the loan proceeds had been fully utilized to finance the construction, Y Limited earned an income of ₹ 50,000 from the temporary investment of the proceeds. Assume that all of the net finance cost needs to be allocated to the cost of factory (excluding land) and interest cost to be capitalized based on eight months' period.

You are required to compute the carrying amount (i.e. value after charging depreciation) of the Factory in the books of Y Limited as at 31 March, 2025 as per the provisions of the relevant Accounting Standard.

AS 12 "Accounting for Government Grants"

11. Era Limited installed Plant and Machinery costing ₹ 100 lakhs on 1st April, 2023 and received a Government Grant of 40% towards its cost on the same day. The Grant was credited to Plant & Machinery Account. The life of the Plant & Machinery is 5 years and its residual value is ₹ 10 lakhs. The company charges depreciation on Straight Line Method. After one year, the Company had to refund the Grant to the extent of ₹ 25 lakhs on 1st April, 2024 due to non-compliance with certain conditions.

You are required to pass the necessary Journal entries in the books of Era Limited for the first two years for the above transactions.

AS 14 "Amalgamation"

12. A Limited and B Limited were amalgamated on 31st March, 2025 to form a new company named AB Limited. Prior to the amalgamation, the Balance Sheets of the two companies stood as under:

Balance Sheets of A Limited and B Limited as at 31.03.2025

Particulars	Note No.	A Limited (₹ lakhs)	B Limited (₹ lakhs)
I. Equity and Liabilities			
(1) Shareholders' Funds			
(a) Share Capital	1	1,188.00	1,026.00
(b) Reserves and Surplus	2	453.60	356.40
(2) Non- Current Liabilities			
Long Term Borrowings	3	90.00	48.00
(3) Current Liabilities			
Trade Payables		<u>428.40</u>	<u>189.60</u>
Total		2,160.00	1,620.00
II. Assets			
(1) Non – Current Assets			
(a) Property, Plant and Equipment		972.00	702.00
(b) Non-Current Investments		162.00	54.00
(2) Current Assets			
(a) Inventories		350.00	275.00
(b) Trade Receivables		360.00	380.00
(c) Cash and Cash Equivalents	4	<u>316.00</u>	<u>209.00</u>
Total		2,160.00	1,620.00

Notes to Accounts:

Particulars	A Limited (₹lakhs)	B Limited (₹lakhs)
1. Share Capital		
Equity shares of ₹ 100 each	864.00	810.00
8% Preference shares of ₹100 each	<u>324.00</u>	<u>216.00</u>

Total	1,188.00	1026.00
2. Reserves and Surplus		
Capital Reserve	162.00	108.00
General Reserve	183.60	162.00
Investment Allowance Reserve	---	54.00
Profit and Loss Account	<u>108.00</u>	<u>32.40</u>
Total	453.60	356.40
3. Long Term Borrowings		
8% Debentures of ₹100 each	<u>90.00</u>	<u>48.00</u>
Total	90.00	48.00
4. Cash and Cash equivalents		
Cash at Bank	316.00	209.00

Additional Information:(i) The Authorized Capital of AB Limited will be ₹ 100 lakhs Equity Shares of ₹ 10 each and 7.50 lakhs 9% Redeemable Preference Shares of ₹ 100 each.

- (ii) AB Limited will issue four Equity Shares for each Equity Share of A Limited. The face value of the equity share of AB Limited is ₹ 10 and the issue price is ₹ 25 per share.
- (iii) AB Limited will issue five Equity Shares for each Equity Share of B Limited. The face value of the equity share of AB Limited is ₹ 10 and the issue price is ₹ 25 per share.
- (iv) Preference shareholders of A Limited and B Limited are issued an equivalent number of 9% Redeemable Preference Shares of ₹ 100 each of AB Limited at an issue price of ₹ 200 per share.
- (v) Existing 8% Debenture holders of both the Companies will get two 9% Redeemable Preference Shares of ₹ 100 each for three debentures held by them at an issue price of ₹ 150 per share.
- (vi) All Current assets and Current liabilities of A Limited and B Limited are taken over by AB Limited at book value except Inventory which is taken over at 4% lesser than their book value and Trade

Receivables for which a provision for doubtful debts is created at 5%.

- (vii) AB Limited will be required to maintain the Investment Allowance Reserve for further 3 years.

Prepare the Balance Sheet of AB Limited as at 31st March, 2025, after amalgamation has been completed, on the basis of amalgamation in the nature of purchase, along with Notes to Accounts as per Schedule III of Companies Act, 2013.

AS 17 "Segment Reporting"

13. Whether interest expense relating to overdrafts and other operating liabilities identified to a particular segment should be included in the segment expense or not?

AS 19 "Leases"

- 14 Explain, in brief, the accounting treatment for an asset given under Operating Lease in the books of the Lessor.

AS 24 "Discontinuing Operation"

15. Arzoo Ltd. is in the business of manufacture of Passenger cars and commercial vehicles. The company is working on a strategic plan to shift from the Passenger car segment over the coming 5 years. However, no specific plans have been drawn up for sale of neither the division nor its assets. As part of its plan it will reduce the production of passenger cars by 20% annually. It also plans to commence another new factory for the manufacture of commercial vehicles plus transfer of employees in a phased manner.
- (i) You are required to comment if mere gradual phasing out in itself can be considered as a 'Discontinuing Operation' within the meaning of AS 24.
- (ii) If the company passes a resolution to sell some of the assets in the passenger car division and also to transfer few other assets of the passenger car division to the new factory, does this trigger the application of AS 24?

- (iii) Would your answer to the above be different if the company resolves to sell the assets of the Passenger Car Division in a phased but time bound manner?

AS 28 "Impairment of Assets"

16. A publisher owns 150 magazine titles of which 70 were purchased and 80 were self-created. The price paid for a purchased magazine title is recognised as an intangible asset. The costs of creating magazine titles and maintaining the existing titles are recognised as an expense when incurred. Cash inflows from direct sales and advertising are identifiable for each magazine title. Titles are managed by customer segments. The level of advertising income for a magazine title depends on the range of titles in the customer segment to which the magazine title relates. Management has a policy to abandon old titles before the end of their economic lives and replace them immediately with new titles for the same customer segment.

Whether it will be a cash-generating unit as per AS 28?

AS 29 "Provisions, Contingent Liabilities and Contingent Assets"

- 17 Galaxy Limited is in the process of finalization of its accounts for the year ended 31st March, 2025 and needs your advice on the following issues in line with the provisions of AS 29:
- (i) Galaxy Limited is selling cosmetic products under its brand name "Angel" but is getting these products manufactured from X Limited. It has an understanding (enforceable agreement) with X Limited that if the company becomes liable for any damage claims, due to any injury or harm to the customer of the cosmetic products, 40% shall be reimbursed to it by X Limited. During the year 2024-25, an estimate of the claim of ₹ 25 lakhs may be payable to the customers by Galaxy Limited. How should Galaxy Limited account for the claim that becomes payable?
- (ii) Galaxy Limited has been sued by one of its competitor for alleged infringement of trademark and a notice for levy of penalty of ₹ 50 lakhs has been received by it. The company has appointed a law firm to defend its case for a fee of ₹ 5 lakhs. 60% of the fees has been paid in advance and the rest 40% would be paid after

finalization of the case. There are 70% chances that the penalty may not be imposed.

Financial statements of companies

- 18 The following is the Trial Balance of Anmol Limited as on 31st March, 2025:

Debit Balance	Amount (₹)	Credit Balances	Amount (₹)
Purchases	82,95,000	Sales	1,25,87,000
Wages and Salaries	12,72,000	Commission	72,500
Rent	2,20,000	Equity Share Capital	10,00,000
Rates and Taxes	50,000	General Reserve	10,00,000
Selling & Distribution Expenses	4,36,000	Surplus (P&L A/c) 01.04.2024	8,75,500
Directors Fees	32,000	Securities Premium	2,50,000
Bad Debts	38,500	Term Loan from Public Sector Bank	1,02,00,000
Interest on Term Loan	8,05,000	Trade Payables	55,08,875
Land	24,00,000	Provision for Depreciation:	
Factory Building	36,80,000	On Plant	9,37,500
Plant and Machinery	62,50,000	On Furniture and Fittings	82,500
Furniture and Fittings	8,25,000	On Factory Building	1,84,000
Trade Receivables	64,75,000	Provision for Doubtful Debts	25,000
Advance Income Tax Paid	37,500	Bills Payable	1,25,000
Stock (1 st April, 2024)	9,25,000		
Bank Balances	9,75,000		
Cash on Hand	1,31,875		
Total	3,28,47,875	Total	3,28,47,875

Following information is provided:

- (1) The Authorized Share Capital of the Company is 2,00,000 Equity Shares of ₹ 10 each. The Company has issued 1,00,000 Equity Shares of ₹ 10 each.
- (2) Rent of ₹ 20,000 and Wages of ₹ 1,56,500 are outstanding as on 31st March, 2025.
- (3) Provide Depreciation @ 10% per annum on Plant and Machinery, 10% on Furniture and Fittings and 5% on Factory Building on written down value basis.
- (4) Closing Stock as on 31st March, 2025 is ₹ 11,37,500.
- (5) Make a provision for Doubtful Debt @ 5% on Debtors.
- (6) Make a provision of 25% for Corporate Income Tax
- (7) Transfer ₹ 1,00,000 to General Reserve.
- (8) Term Loan from Public Sector Bank is secured against Hypothecation of Plant and Machinery. Installment of Term Loan falling due within one year is ₹ 17,00,000.
- (9) Trade Receivables of ₹ 85,600 are outstanding for more than six months.
- (10) The Board declared a dividend @10% on Paid up Share Capital on 5th April, 2025.

You are required to prepare Balance Sheet as on 31st March 2025 and Statement of Profit and Loss with Note to Accounts for the year ending 31st March, 2025 as per Schedule III of the Companies Act, 2013. Ignore previous years' figures.

Internal reconstruction

19. Following is the Balance Sheet of Ellora Limited as at 31st March, 2025:

Particulars	Note	Amount (₹)
Equity and Liabilities		
Shareholders' Funds		
Share Capital	1	46,00,000

Reserves and Surplus	2	(21,40,000)
Non-current Liabilities		
Long Term borrowings	3	15,00,000
Current Liabilities		
Trade Payables		12,00,000
Short Term Borrowings – Bank Overdraft		7,80,000
Other Current Liabilities	4	4,90,000
Short Term Provisions-Provision for Taxation		<u>4,00,000</u>
Total		68,30,000
Assets		
Non-current Assets		
Property, Plant and Equipment	5	23,00,000
Intangible Assets	6	6,70,000
Non-current Investments	7	2,20,000
Current Assets		
Inventories		17,00,000
Trade Receivables		<u>19,40,000</u>
Total		68,30,000

Notes to Accounts

	Particulars	Amount (₹)
1	Share Capital	
	Equity Share Capital	
	3,00,000 Equity Shares of ₹10 each, fully paid up	30,00,000
	Preference Shares Capital	
	16,000 6% Cumulative Preference Shares of ₹ 100 each, fully paid up	<u>16,00,000</u>
	Total	46,00,000

2	Reserves and Surplus	
	Debit balance of Profit and Loss Account	(21,40,000)
3	Long Term Borrowings	
	Secured	
	6% Debentures (secured on the freehold property)	15,00,000
4	Other Current Liabilities	
	Loan from Directors	4,00,000
	Interest Payable on Debentures	<u>90,000</u>
	Total	4,90,000
5	Property, Plant and Equipment	
	Freehold Property	17,00,000
	Plant and Machinery	<u>6,00,000</u>
	Total	23,00,000
6	Intangible Assets	
	Goodwill	5,20,000
	Patents and Trademarks	<u>1,50,000</u>
	Total	6,70,000
7	Non-current Investments	
	Investments in Marketable Securities – valued at Cost (Market Value ₹5,40,000)	2,20,000

Due to continued losses and liquidity constraints, it was decided to reconstruct the company. The following scheme of internal reconstruction was approved by the shareholders and sanctioned by the Tribunal:

1. The Equity Shares shall be written down to ₹ 2 each and the Preference Shares shall be written down to ₹ 75 each.
2. Of the Preference Shares' Dividends which are in arrears for four years, the Preference Shareholders have agreed to forego their claim for arrears of dividends for three years and accept allotment of Equity Shares of ₹ 2 each towards dividend for the fourth year.
3. Interest payable on Debentures is paid in cash.

4. The Debenture holders have agreed to take over freehold property, book value ₹ 4,00,000 at a valuation of ₹ 4,80,000 in part repayment of their holdings. Besides they have agreed to provide additional funds of ₹ 5,20,000 secured by a floating charge on the company's assets at an interest rate of 9%.
5. Inventory is to be written down by ₹ 2,60,000
6. Provision for bad and doubtful debts is to be created for ₹ 2,74,000.
7. Intangible Assets and Debit balance of Profit and Loss Account are to be written off.
8. The remaining freehold property after giving to Debenture holders is to be revalued at ₹ 15,50,000,
9. The Non-current Investments are sold off for ₹ 5,60,000.
10. A contingent liability of ₹ 1,00,000 is payable, which has arisen due to the wrong action of one of the Directors. He has agreed to compensate this loss out of the loan given by him to the company. For the remaining loan of ₹ 3,00,000, the Directors have agreed to accept a cash payment of ₹ 20,000 and allotment of ₹ 1,30,000 Equity Shares of ₹ 2 each in full settlement.
11. There is a capital commitment of ₹ 10,00,000. The contract is cancelled on payment of 5% of the contract price as a penalty.
12. The company issued 2,00,000 new Equity shares of ₹ 2 each at par, payable in full on allotment. The issue was underwritten for a commission of 5%. Shares were fully taken up.
13. The taxation liability of the company is settled at ₹ 3,00,000 and the same is paid immediately.
14. The expenses of reconstruction amounted to ₹ 15,000,

You are required to:

- (a) Pass the Journal Entries to record the above transactions (including cash transactions) in the books of the company.
- (b) Prepare Capital Reduction Account.

Accounting for Branches

20. Following is the Trial Balance as on 31st December, 2025 of the Cambridge Branch of Harry Limited whose Head Office is situated at Pune, India.

	Dr €	Cr €
Furniture	80,000	
Stock as on 1 st January, 2024	36,000	
Debtors	16,000	
Cash at Bank	3,000	
Head Office A/c		80,000
Creditors		12,000
Sales		2,80,000
Expenses		
Goods sent from Head Office	<u>12,000</u>	
Total	3,72,000	3,72,000

In the books of Head Office, the Branch Account stood as under:

Cambridge Branch Account

	₹ in Lakhs		₹ in Lakhs
To Balance b/d	27.00	By Bank	146.00
To Goods sent to Branch	<u>180.00</u>	By Balance c/d	<u>61.00</u>
	207.00		207.00

Additional Information:

1. Goods are sent to the branch at cost plus 10% and the branch sells goods at invoice price plus 25%.
2. Furniture was acquired on 1st April, 2023 when ₹ 1.00 = ₹ 84. Furniture is depreciated at 10%.
3. The Branch Manager is entitled to a commission of 10% on the profits of the branch before charging such commission.

4. Rates of Exchange were on 1st January, 2025 € 1.00 ₹ 91, on 31st December, 2025 € 1.00 = ₹ 89 and Average € 1.00 = ₹ 86.

You are required to:

- (i) Prepare the Branch Trading and Profit & Loss Account in Euros.
- (ii) Convert the Trial Balance of the Branch in Indian Currency.